

Elana Wong
ECON 8430
Dr. Lewis
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Final Market Analysis

The ready-to-cook meal kit industry represents a sophisticated intersection of price discrimination, product competition, and complex supply chains. While firms like HelloFresh, Blue Apron, and Home Chef compete for a consumer base seeking convenience and customization, they must also navigate significant challenges in customer retention and high fixed costs.

Price Discrimination

In the market for ready-to-cook meal plans, there are different groups of consumers, budget friendly people trying a new system of cheap healthy meals, families who are in a time crunch, and people who would normally eat take out. Ready-to-cook meal plans, such as Hello Fresh, Blue Apron and Home Chef each utilize price discrimination tactics to cater to the individual populations seeking easy to cook meals. The ready-to-cook market struggles with customer retention so price discrimination plays a significant role. Hello Fresh works best by eliminating the barriers stopping consumers from purchasing. Initial promotions incentivize consumers to try the plan out with hopes that they remain as a consumer even after the promotion runs out. Hello Fresh leverages bundling pricing and group pricing to provide cheaper meals to consumers who order over six meals per week, which is also self-selection price discrimination.

Blue Apron exceeds when it comes to versioning. Providing three main different categories of meals, Blue Apron offers numerous “meal levels” based on the needs of the shopper. “Meal Kits” by Blue Apron are the most parallel version to the Hello Fresh product consisting of pre-proportioned meal kits to be prepared in a quick amount of time. “Dish” by Blue Apron is a meal fully assembled only requiring reheating. The variation in meals aid in the firm’s ability to serve a variety of consumer bases. Giving consumers the option to choose meal levels, Blue Apron now caters to a new pool of consumers. Blue Apron and Hello Fresh have no commitment which creates for more variability in the order process and allows for consumers to decide their involvement in the preparation process. Blue Apron offers individual prices for recipes instead of using a blanket price for the level of recipes and consumption, this is opposed to Hello Fresh who prices the same per meal regardless of contents.

Home Chef engages in price discrimination in one of the strangest and most convoluted ways. The initial deal is broken up into 5 promotions, the first sale is 30% and free shipping, then 30%, 30%, 41%, and 55%, but only within ten weeks of your sign up date. This is group pricing that only applies to new customers, and engages nonlinear pricing by breaking up the sales over a time. Home Chef uses

market segmentation by offering sales for students, government officials, military, first responders, and teachers.

Though varying across all the different companies, it is most important to break down the barriers stopping the initial purchase by providing discounts to entice customers. If a firm fails to find profit, it is crucial to expand your consumer base and price discriminate by versioning. Though the initial sales are getting consumers on the books, therewithstands the consumer retention issue. Just remember not only are these companies trying to undercut each other but also any provider of food, grocery stores, DoorDash and any meal delivery service.

Competitive Analysis

Model of Competition

The differentiated-product Bertrand model provides a comprehensive example of firms setting prices for imperfect substitutes for one another. The firms sell similar services but consumers perceive differences in menu variety, preparation involvement and pricing structures. These differentiated products allow firms to set prices above their marginal cost and avoid the “Bertrand Trap,” so that firms do not have to price their products at the market competitive price. This differentiation means that firms keep prices higher and target specific consumer groups. These firms all have large fixed-cost investments to remain competitive and customer acquisition remains a difficult barrier to entry.

Product Characteristics

Consumers in this product market care about the convenience of eliminating grocery shopping while avoiding going out to eat. The important characteristics of these products are price, reduced decision making and preparation time. The pricing structure utilized varies but Blue Apron uses individual pricing strategies depending on ingredient prices, whereas Hello Fresh utilizes blanket pricing no matter the ingredients, signaling that Blue Apron may have higher quality ingredients possibly leading to vertical differentiation. Reduced decision making relates to the menu variety and is an example of horizontal differentiation, allowing consumers options based on individual taste preferences. Preparation time is horizontal differentiation, meaning that the time involved from their “Meal Kits” to “Assemble and Bake” decreases in the amount of time it takes to prepare depending on the product.

Firms generally do not differentiate on the core proposition of providing the experience of not having to shop for groceries but still cooking. All major competitors share a strategy for customer acquisition, promotions. Firms differentiate but not too much to avoid entering markets like DoorDash or GrubHub, by offering simply takeout services.

Costs

Search costs, obfuscation, and switching costs all have a significant impact on market power by making consumer demand less elastic, which allows firms to maintain higher prices without losing their customer base for example, product information hidden behind a paywall. Home Chef requires a login before allowing access to view pricing levels then uses a paywall to block menu options to decrease consumers ability to compare different plans. These circumstances aid in preserving market power.

Discriminatory Pricing Strategies

In terms of discriminatory pricing strategies, these are crucial due to this industry's problem with customer retention. Blue Apron utilizes different meal levels in order to capture different consumer groups. The variation of consumers allows for Blue Apron to capture a larger market of consumers. Hello Fresh uses bundling pricing, offering lower per meal costs, incentivizing consumers to increase consumption. Home Chef uses group pricing in order to target sales for specific segments like students and military. These competitive measures aid in capturing different consumer markets and to entice customers to individual firms.

Vertical Integration Relationships

The ready-to-cook meal kit market is characterized by many economic vertical relationships spanning across farmers and processors, meal kit assembly facilities and refrigerated delivery services. Meal-kit firms rely on fresh produce, proteins, spices, and specialty items sourced from farms, processors, and wholesalers. Changing costs of ingredients are large concerns in this industry and vertical integration between the farmers and assembly facilities helps to maximize the producer surplus. It may even be beneficial for the companies to vertically integrate between meal kit assembly and delivery services due to the requirement that the kits need temperature-controlled packing as well as timely delivery.

Most upstream firms do not engage in linear, per-unit pricing but instead multi-component contracts like a volume based pricing contract to adjust for week over week demand. The rationale behind not using linear pricing is because meal-kit companies are not typical buyers, like the consumers found in a grocery store. Meal kit companies usually have higher quality standards than the general public because they are selling a luxury product and they require precise portion sizes as well as consistent weekly volumes of product. The economic reasons as to why complex structures arise is to better adjust to the changes in the demand, like volume based pricing.

Misaligned incentives are common because upstream suppliers do not internalize the downstream consequences of poor quality, late deliveries, or inconsistent portion sizes. Upstream firms, or the grocery and farm wholesalers in this scenario, are incentivized to maximize their profit potentially leading to lower quality food and overall a poorer experience for the end of the line

consumer resulting in lower consumer satisfaction and a decrease in long term retention. If the meals are delivered through a third party refrigerated food delivery company, they may engage in route efficiency at the cost of meal kit freshness, leading to lower consumer satisfaction. These misaligned incentives motivate the use of vertical restraints and integration signalling its beneficial for assembly and delivery to be vertically integrated.

Vertical integration is widespread. HelloFresh operates its own assembly centers, reducing quality variability and logistics risk. Home Chef is owned by Kroger, representing downstream integration that allows the retailer to internalize grocery and meal-kit margins. Blue Apron, now part of Wonder, a food delivery system, uses exclusive supply contracts with farms to secure consistent quality. These restraints ensure that suppliers internalize some of the downstream costs. In other cases, restraints serve strategic purposes such as securing reliable supply, differentiating product quality, and raising rivals' costs by tying up high-quality suppliers.

Building up the infrastructure for vertical integration from assembly centers to door delivery is costly but may be beneficial as long as there is a solid consumer base concentrated in an area to warrant such need. This is not likely to be the case for most of the US but firms may benefit from vertical integration in large cities. The tradeoffs would be supporting an underutilized and costly facet of production but potentially incentivizing new customers as long as consumer retention increases. Overall, the vertical structures and systems observed in the meal-kit industry reflect the need to manage quality of food and products, reduce transaction costs between firms, and align incentives across a supply chain of upstream and downstream firms, characterized by perishability, customization, and high consumer sensitivity to quality.

Conclusion

In the end, the structures of the meal-kit market are dictated by the unique economic challenges of consumer sensitivity to prices, imperfect product information, and misaligned integration incentives. Whether through firm logistics or retail partnerships, the meal-kit firms that survive will be those that successfully internalize the externalities of the supply chain while maintaining enough market power and exceeding in long term consumer retention.